

2nd Year Business Studies – Enterprise Test (30 mins)

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Section A – Short Questions (10 marks)

(1 mark each)

- 1 ☐ What does it mean to be **enterprising**?
- 1 ☐ Give one **example** of being **enterprising at school**.
- 1 ☐ What is a **skill**? Give one **example**.
- 1 ☐ What is a **quality**? Give one **example**.
- 1 ☐ Give one **difference** between a **skill** and a **quality**.
- 1 ☐ What is a **financial enterprise**?
- 1 ☐ What is a **social enterprise**?
- 1 ☐ What is a **cultural enterprise**?
- 1 ☐ What is a **sole trader**?
- 1 ☐ Name one **advantage** of being a **sole trader**.

Section B – Match the Enterprise (10 marks)

(2 marks each)

Match the business to the correct type of enterprise or ownership.

Business / Example Type of Enterprise or Ownership

42/42

100%

10/10

A1 Being enterprising is seeing an opportunity and doing something about it ✓

2 You can be enterprising at school by offering to help someone study if they pay you ✓

3 A skill is something you can do that you have/had to learn. eg. Communication ✓

4 A quality is something you can do that you were born with. eg. Confidence ✓

5 You have to learn a skill but not a quality ✓

6 A financial enterprise is a company set up for profit ✓
eg. McDonald's

7 A social enterprise is an ~~company~~ ^{enterprise} set up to help a community or group of people or environment eg. Tidy Towns ✓

8 A cultural enterprise is an enterprise set up to spread / raise interest about culture. eg. TG4 in Irish ✓

9 A sole trader is someone who owns and runs a business on their own

10 One advantage of being a sole trader is you keep all the profits

- | | | |
|---|----------------------------------|--|
| ☒ TG4 | A. Sole Trader | Owned by one person |
| ☒ FoodCloud | B. Cultural Enterprise | Promotes culture like Irish language |
| ☒ SuperValu | C. Social Enterprise | Run for the good of the community |
| ☒ Local hairdresser | D. Financial Enterprise | Made to make money |
| ☒ Gym+Coffee | E. Private Limited Company (Ltd) | Type of business with a few shareholders |

Answers (e.g. 1 → B):

Q1 = B ✓ Q2 = C ✓ Q3 = D ✓ Q4 = E ✓
Q5 = A ✓

10/10

Section C – Business Ownership (10 marks)

Q1. Name one feature of a partnership. (1 mark)

Owned by 2-20 people ✓ 2

12/12

Q2. Give one advantage and one disadvantage of a partnership. (2 marks)

Advantage: Shared workload ✓ 1

Disadvantage: Unlimited liability ✓ 1

Q3. What does limited liability mean? (2 marks)

You can only lose what you put into a business ✓ 2

Q4. Give one example of a franchise. (1 mark)

KFC ✓ 2

Q5. Name one role entrepreneurs play in the community. (2 marks)

They pay taxes ✓ 2

Q6. What is a co-operative? (2 marks)

A co-operative is a business run by its workers democratically for its workers ✓ 2

Section D – Scenario Question (10 marks)

You and a friend want to open a **smoothie shop** in Lucan.

You're deciding between being a **sole trader** or a **partnership**.

10/10

- ☒ What does being a **sole trader** mean? (2 marks)

Only one person owns the business ✓ 2

- ☒ What is one **advantage** of being a **partnership**? (2 marks)

Shared workload ✓ 2

- ☒ What is one **disadvantage** of being a **partnership**? (2 marks)

Disputes between owners ✓ 2

- ☒ What type of enterprise would your business be — **financial, social, or cultural**? Why? (2 marks)

Financial because you want to make money off of it ✓ 2

- ☒ Name one **skill or quality** that would help your business succeed. (2 marks)

Communication because you could communicate well with the owner of the business, you source your ingredients from or with other owners in a partnership ✓ 2